

SOLVED PRACTICE WORKBOOK

Centre State and Inter State Relations - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Centre State and Inter State Relations - Complete Uncompressed Learning Session

BASIC MCQS / REMEDIATION

Original hard MCQ set - balanced deterministic non-patterned placement

OM1. Article 245

Which statement is correct?

A. A parliamentary law is not invalid merely for extra-territorial operation. B. Article 245 concerns only taxation. C. A State law can never have extra-State effect. D. Parliament needs State consent for extra-territorial law.

Answer: A.

Article 245(2) supplies the rule; State reach depends on territorial nexus.

OM2. List hierarchy

Which is the standard current examination count?

A. Union 98, State 59, Concurrent 52 B. Union 100, State 61, Concurrent 52 C. Union 100, State 60, Concurrent 52 D. Union 97, State 66, Concurrent 47

Answer: B.

Use 100/61/52 while recognising retained omitted/inserted numbering.

OM3. 42nd Amendment

Which subject was moved from State to Concurrent List by the 42nd Amendment?

A. Public health B. Agriculture C. Education D. Police

Answer: C.

Education was one of five transferred subjects.

OM4. Residuary power

Residuary legislative power belongs to:

A. Supreme Court B. Inter-State Council C. States D. Parliament

Answer: D.

Article 248 and Union Entry 97 place it with Parliament.

OM5. Article 249

The special trigger is:

A. Rajya Sabha national-interest resolution by prescribed majority B. Lok Sabha simple majority C. Two-State request D. National Emergency

Answer: A.

It is a federal role of Rajya Sabha and does not require Emergency.

OM6. Article 252

Which is correct?

A. It requires presidential rule. B. Two or more States initiate; Parliament alone later amends/repeals. C. A State may unilaterally repeal it. D. It applies automatically to every State.

Answer: B.

Other States can later adopt the parliamentary law.

OM7. Article 253

Parliament can legislate on a State field to:

A. create a local body B. alter a State Budget C. implement a treaty or international decision D. remove a Governor

Answer: C.

Article 253 is an express treaty-implementation route.

OM8. Article 250

A State-field law made during National Emergency becomes inoperative:

A. only after State repeal B. immediately after Emergency C. after one year D. six months after Emergency ceases

Answer: D.

The six-month tail permits transition.

OM9. Pith and substance

The doctrine asks:

A. What is the law's true nature? B. Whether Union law is popular C. Whether President agrees D. Whether two States consent

Answer: A.

Incidental encroachment does not defeat a law within competence.

OM10. Harmonious construction

Its principal purpose is to:

A. always invalidate State law B. allow both constitutional fields maximum workable operation C. transfer residue to States D. abolish Article 254

Answer: B.

Supremacy is used after reconciliation fails.

OM11. Article 254

A President-assented State law repugnant on a Concurrent subject:

A. prevails nationally B. cannot be overridden C. may operate in that State until Parliament overrides D. becomes a constitutional amendment

Answer: C.

Article 254(2) is State-specific and subject to later parliamentary law.

OM12. Colourable legislation

Which principle is captured?

A. Form alone decides competence. B. Every overlap is valid. C. President cures all incompetence. D. What cannot be done directly cannot be done indirectly.

Answer: D.

Substance controls over legislative disguise.

OM13. Article 256

States must:

A. ensure compliance with parliamentary and applicable laws B. transfer police to Union C. follow ISC recommendations as binding D. obtain Union approval for every executive act

Answer: A.

Union directions can support this compliance duty.

OM14. Article 365

Which is most accurate?

A. It creates an All-India Service. B. Non-compliance may support a presidential conclusion, but Article 356 safeguards remain. C. It automatically imposes President's Rule. D. It concerns tax sharing.

Answer: B.

The inference is not automatic and Bommai review remains.

OM15. Article 258A

It permits:

A. President to amend State law B. Parliament to dissolve Assembly C. Governor with Union consent to entrust State functions to Union D. ISC to issue binding directions

Answer: C.

Article 258 concerns Union-to-State entrustment; 258A is the reverse.

OM16. All-India Service

Which is not an All-India Service?

A. IPS B. Indian Forest Service C. IAS D. Indian Foreign Service

Answer: D.

The Foreign Service is a Central Civil Service.

OM17. CBI consent

Which is correct?

A. Constitutional courts may order a CBI probe without State consent. B. CBI has a dedicated constitutional article. C. Police is Concurrent List. D. Withdrawal voids all earlier cases automatically.

Answer: A.

Section 6 consent is important but does not bind Article 32/226 courts.

OM18. Article 265

It provides:

A. State borrowing abroad B. no tax except by authority of law C. free inter-State trade D. Finance Commission every five years

Answer: B.

It is the foundational legality rule for taxation.

OM19. Article 269A

It principally concerns:

A. State borrowing B. Union surcharge C. inter-State GST apportionment D. profession tax

Answer: C.

IGST is levied/collected by Union and apportioned.

OM20. Article 271

Which is correct?

A. GST surcharge is unrestricted. B. States impose Union surcharge. C. Surcharge is shared under Article 270. D. Parliament may impose Union-purpose surcharge whose proceeds are not shared.

Answer: D.

Cesses/surcharges outside the pool are a major State grievance.

OM21. Article 275

It concerns:

A. constitutional grants-in-aid B. inter-State water tribunals C. discretionary any-purpose grants only D. external borrowing

Answer: A.

Article 282 is the broad discretionary public-purpose grant provision.

OM22. State borrowing

A State with an outstanding Union loan:

A. requires ISC consent B. needs Union consent for further borrowing, potentially with conditions C. may borrow abroad freely D. cannot borrow at all

Answer: B.

Article 293 is a central fiscal-leverage point.

OM23. 16th FC

Which criterion is new in the 2026-31 horizontal formula?

A. Tax effort B. Urbanisation C. Contribution to GDP D. Fiscal deficit

Answer: C.

Contribution to GDP has 10%; tax effort was removed.

OM24. 16th FC vertical share

The accepted share is:

A. 42% divisible pool B. 50% gross tax C. 40% all receipts D. 41% divisible pool

Answer: D.

Cesses, surcharges and collection cost are outside the divisible pool.

OM25. Water amendment

As of 24 August 2026:

A. The 2019 permanent-tribunal Bill has not become law. B. Article 262 was repealed. C. A permanent tribunal is operational. D. Courts have unrestricted jurisdiction.

Answer: A.

The existing dispute-specific tribunal system remains controlling.

OM26. Inter-State Council

Which is correct?

A. It is created by the States Reorganisation Act. B. Article 263 permits it and a 1990 presidential order established it. C. Its decisions bind like Supreme Court judgments. D. It is chaired by the Chief Justice.

Answer: B.

It is advisory and constitutionally provided.

OM27. Part XIII

After Jindal Stainless, a State tax on imported goods is centrally tested for:

A. quid pro quo B. Finance Commission approval C. hostile/protectionist discrimination under Article 304(a) D. compensatory character

Answer: C.

The nine-judge bench rejected the compensatory-tax doctrine.

OM28. Minor minerals

Which allocation is correct?

A. ISC makes rules. B. States notify minor-mineral category and Union grants leases. C. Only Union has all powers. D. Centre may notify category; States make concession rules under Section 15.

Answer: D.

This is the official 2025 PYQ distinction.

Remedial MCQ loop - strict B -> B -> C -> D rotation

RM1. R-N-S-I-P

Which Article uses a Rajya Sabha national-interest resolution?

A. 249 B. 250 C. 253 D. 252

Answer: A.

Article 249 is not an Emergency provision.

RM2. Repugnancy

Article 254 principally concerns:

A. water disputes B. Concurrent conflict C. Union List D. State borrowing

Answer: B.

First identify competence; then apply repugnancy if relevant.

RM3. Directions

Failure to comply with Union directions:

A. automatically ends Governor tenure B. has no consequence C. may trigger Article 365 inference, subject to Article 356 safeguards D. automatically dissolves Assembly

Answer: C.

Automatic-President's-Rule language is wrong.

RM4. Services

Which is a Central Civil Service, not AIS?

A. IPS B. IAS C. IFoS D. Indian Foreign Service

Answer: D.

The similar initials are a common trap.

RM5. Grants

Article 275 refers to:

A. constitutional grants-in-aid B. foreign borrowing C. GST compensation D. any-purpose discretionary grants

Answer: A.

Article 282 is the broad discretionary provision.

RM6. Institution status

Zonal Councils are:

A. judicial B. statutory C. private D. constitutional

Answer: B.

They arise under the States Reorganisation Act 1956.

RM7. Trade tax

Jindal Stainless rejected:

A. all State taxes B. Article 304(a) C. the compensatory-tax doctrine D. GST

Answer: C.

Non-discriminatory taxation is not automatically barred.

RM8. Water tribunal

The permanent single tribunal is:

A. constitutional body B. created in 1956 C. operational D. a 2019 Bill proposal not enacted by the control date

Answer: D.

Do not turn a Bill into current law.

PYQS AND ANSWER PRACTICE

Routed PYQs with model solutions

PYQ 1 - UPSC GS-II 2019, Q4 - direct

Question: From the resolution of contentious issues regarding distribution of legislative powers by the courts, “Principle of Federal Supremacy” and “Harmonious Construction” have emerged. Explain. **10 marks | 150 words**

Model solution

The Seventh Schedule distributes legislative fields, but modern laws overlap. Courts therefore reconcile entries before invalidating legislation.

Harmonious construction gives broad meaning to each entry while preserving meaningful operation of both Union and State fields. **Pith and substance** supports this approach: if a law's dominant character lies within competence, incidental encroachment survives.

Federal supremacy operates when reconciliation fails. Article 246 gives Union List predominance through its notwithstanding clause. On a Concurrent subject, Article 254 ordinarily makes parliamentary law prevail over repugnant State law. A State law reserved for and receiving Presidential assent may operate within that State, but Parliament can subsequently override it.

The doctrines are therefore sequential, not contradictory. Harmonious construction protects federal autonomy; supremacy prevents legal paralysis. Sarkaria described federal supremacy as a technique to avoid absurdity and resolve conflict.

Thus, Indian legislative federalism is accommodative in interpretation but Union-weighted at the point of irreconcilable conflict.

PYQ 2 - UPSC GS-II 2020, Q11 - direct

Question: The Indian Constitution exhibits centralising tendencies to maintain unity and integrity of the nation. Elucidate in the perspective of the Epidemic Diseases Act, 1897, the Disaster Management Act, 2005 and the recently passed Farm Acts. **15 marks | 250 words**

Model solution

India's holding-together federation gives the Union exceptional capacity to coordinate national crises and markets. Recent legislation showed both the necessity and federal cost of that design.

During COVID-19, the Union used the Disaster Management Act, 2005 for nationwide directions, while the Epidemic Diseases Act, 1897 operated through State measures. Uniform restrictions, procurement and movement rules supplied scale but also compressed State policy space in public health, a State subject.

The 2020 Farm Acts relied substantially on Concurrent List Entry 33 concerning trade in foodstuffs, yet affected agriculture and markets associated with State List Entries 14 and 28. States argued that legal competence was being used without adequate federal consultation. The Acts were repealed in 2021, demonstrating political federalism and mobilisation.

Other centralising tools include residuary power, Articles 249, 250, 253 and 356, All-India Services, conditional schemes and fiscal dependence. However, centralisation is not unlimited: *S.R. Bommai* makes federalism Basic Structure; courts apply pith and substance; GST requires shared institutions; States retain electoral and implementation power.

Therefore, national coordination may justify central legislation, but legitimacy requires necessity, clear List competence, consultation and proportionality. Unity is strengthened when Union capacity works through cooperative institutions rather than treating States as implementing agencies.

PYQ 3 - UPSC GS-II 2021, Q11 - supporting

Question: The jurisdiction of the Central Bureau of Investigation regarding lodging an FIR and conducting a probe within a particular State is being questioned by various States. However, the power of States to withhold consent to the CBI is not absolute. Explain with special reference to the federal character of India. **15 marks | 250 words**

Model solution

Police is a State subject, while the CBI exercises investigative powers through the Delhi Special Police Establishment Act, 1946. Section 6 therefore requires State consent for DSPE jurisdiction within a State.

General consent permits routine registration; withdrawal ordinarily requires case-specific consent for fresh cases. This is a real federal safeguard against an unrestricted parallel central police force.

The safeguard is not absolute. The Supreme Court under Article 32 and High Courts under Article 226 may order a CBI probe without State consent to secure fair investigation and fundamental rights. Withdrawal also does not automatically nullify every validly commenced case, and territorial or accused-specific questions can affect jurisdiction.

In *State of West Bengal v. Union of India* (2024), the Supreme Court rejected the Union's preliminary objection and allowed the State's Article 131 suit to proceed; it did not finally decide all substantive claims.

The federal balance requires State police autonomy, national coordination for cross-border corruption and judicial power where local investigation is compromised. A dedicated CBI statute, transparent consent protocols and independent appointment/accountability mechanisms would reduce political confrontation.

Thus, consent is constitutionally significant statutory federalism, but it cannot override constitutional-court power.

PYQ 4 - UPSC GS-II 2024, Q13 - direct

Question: What changes has the Union Government recently introduced in the domain of Centre-State relations? Suggest measures to be adopted to build the trust between the Centre and the States and for strengthening federalism. **15 marks | 250 words**

Model solution

Centre-State relations have shifted from plan-era bargaining to a mixed Finance Commission-GST-NITI architecture, while administrative and legislative disputes have intensified.

Changes: The Planning Commission was replaced by NITI Aayog; the 14th Finance Commission increased untied devolution, followed by 41% under later Commissions. GST pooled indirect-tax autonomy through a constitutional Council. Centrally sponsored schemes, cesses and surcharges, borrowing conditions and central agencies continue to shape State choices. Governor assent, CBI consent and Concurrent-field legislation have become recurrent flashpoints.

Trust measures:

1. Convene the Inter-State Council regularly and publish implementation reports.
2. Consult States before major Concurrent List laws.
3. Follow Sarkaria/Punchhi norms for politically neutral Governors and reasoned action.
4. Reduce reliance on cesses outside the divisible pool and ensure predictable transfers.
5. Design schemes jointly with flexible State components.
6. Use consensus and a credible dispute process in the GST Council.
7. Clarify CBI powers and consent through comprehensive legislation.
8. Build shared river-basin data and compliance institutions.

S.R. Bommai makes federalism Basic Structure, but judicial protection alone cannot create cooperation.

Trust is an institutional output: States must repeatedly experience consultation before compulsion, fiscal predictability and neutral use of constitutional offices.

PYQ 5 - UPSC Prelims 2024, Q75 - official key

Question: Which one of the following statements is correct as per the Constitution of India?

A. Inter-State trade and commerce is a State subject under the State List. B. Inter-State migration is a State subject under the State List. C. Inter-State quarantine is a Union subject under the Union List. D. Corporation tax is a State subject under the State List.

Answer: C. OFFICIAL UPSC SET-A KEY.

Union List Entry 81 covers inter-State migration and inter-State quarantine; Entry 42 covers inter-State trade and commerce; corporation tax is also a Union subject.

PYQ 6 - UPSC GS-II 2025, Q14 - direct

Question: Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India? **15 marks | 250 words**

Model solution

Centre-State finance has evolved from discretionary plan bargaining toward a more rules-based but still Union-dependent architecture.

During planned development, the Planning Commission and National Development Council shaped plan assistance, while Article 282 grants allowed broad executive discretion. The Finance Commission handled constitutional tax devolution and grants, producing parallel transfer channels.

Post-2015 reforms changed this pattern. NITI Aayog replaced the Planning Commission without assuming devolution powers. The 14th Finance Commission raised the States' tax share to 42%; later Commissions use 41%. GST pooled Union and State indirect taxes through Articles 246A, 269A and 279A, creating a common market and shared decision forum. The 16th Finance Commission retains 41% for 2026-31 and balances income distance with population, demographic, ecological and GDP-contribution criteria.

Reforms improved transparency, untied resources and institutional bargaining. *Mohit Minerals* preserves legislative autonomy by treating GST Council recommendations as non-binding.

However, vertical imbalance persists. Cesses and surcharges remain outside the divisible pool; centrally sponsored schemes impose conditions; GST narrowed independent rate space; Article 293 borrowing consent creates leverage.

Thus, fiscal federalism is more rules-based but not fiscally equal. Protecting the divisible pool, predictable schemes, robust GST dispute resolution and stronger State revenue capacity are necessary for meaningful autonomy.

PYQ 7 - UPSC Prelims 2025, Q53 - official key

Question: With reference to India, consider the following:

1. The Inter-State Council
2. The National Security Council
3. Zonal Councils

How many of the above were established as per provisions of the Constitution of India?

A. Only one B. Only two C. All the three D. None

Answer: A. OFFICIAL UPSC SET-A KEY.

Article 263 provides for establishment of the Inter-State Council. Zonal Councils are statutory and the National Security Council is executive/non-statutory.

PYQ 8 - UPSC Prelims 2025, Q89 - official key

Question: Consider the following statements:

Statement I: In India, State Governments have no power for making rules for grant of concessions in respect of extraction of minor minerals even though such minerals are located in their territories. Statement II: In India, the Central Government has the power to notify minor minerals under the relevant law.

Which one of the following is correct?

A. Both statements are correct and Statement II explains Statement I B. Both statements are correct but Statement II does not explain Statement I C. Statement I is correct but Statement II is not correct D. Statement I is not correct but Statement II is correct

Answer: D. OFFICIAL UPSC SET-A KEY.

The Centre can notify minor minerals under Section 3(e) of the MMDR Act, while States make concession rules under Section 15.

Original Mains practice with examiner-grade models

M1. 10 marks | 150 words

Question: Explain the constitutional relationship between Articles 256, 257, 365 and 356. Why is non-compliance with Union directions not equivalent to automatic President's Rule?

Model solution

Articles 256 and 257 coordinate executive power in a federation with shared implementation.

Article 256 requires States to ensure compliance with parliamentary and applicable laws and permits Union directions for that purpose. Article 257 requires State executive power not to impede Union executive power and permits specified directions concerning national/military communications and railway protection.

Article 365 provides that failure to comply with Union directions may permit the President to hold that State government cannot be carried on according to the Constitution. It therefore supplies a relevant constitutional inference.

However, it does not automatically impose President's Rule. Article 356 still requires a presidential satisfaction based on relevant material, parliamentary approval and compliance with temporal limits. *S.R. Bommai* makes the proclamation judicially reviewable and ordinarily protects floor determination of political majority.

Thus, Articles 256-257 enable coordination, Article 365 marks serious non-compliance, and Article 356 supplies the exceptional remedy. Treating the sequence as automatic would convert federal directions into unrestricted Union control.

M2. 10 marks | 150 words

Question: Distinguish the Inter-State Council, Zonal Councils, North Eastern Council and NITI Aayog by source, composition logic and function.

Model solution

These bodies all facilitate coordination but have different legal foundations.

The **Inter-State Council** is contemplated by Article 263 and was established by presidential order in 1990. Chaired by the Prime Minister, it advises on disputes and common policy; its recommendations are not binding.

The **five Zonal Councils** are statutory bodies under the States Reorganisation Act, 1956. Chaired by the Union Home Minister, they address regional administrative and inter-State issues.

The **North Eastern Council** is a separate statutory institution under the NEC Act, 1971; it is not a sixth Zonal Council.

NITI Aayog was created by executive resolution in 2015. It is a policy and development forum, not a constitutional or statutory body and not a substitute for the Finance Commission.

Thus, "intergovernmental body" does not establish legal status. Article, statute and executive resolution must be separately identified.

M3. 15 marks | 250 words

Question: Examine whether All-India Services strengthen administrative unity at an excessive cost to State autonomy.

Model solution

Article 312 permits common services for Union and States after a Rajya Sabha national-interest resolution. IAS, IPS and Indian Forest Service embody India's integrated administrative federalism.

Benefits: Common recruitment and training establish professional standards, enable movement of experience across States and Union, and provide continuity during crises. Officers serving State cadres possess local administrative knowledge while connecting implementation to national law and programmes. Ambedkar's "strategic posts" rationale remains relevant for a diverse federation.

Autonomy costs: Cadre allocation, deputation, disciplinary control and central empanelment can create divided accountability. States may perceive officer shortages or recall/deputation disputes as Union pressure. Uniform career incentives can also weaken responsiveness to local political priorities.

The design is not inherently anti-federal because officers work under State governments in State posts and new services require Rajya Sabha approval. The problem arises when shared control becomes unilateral command.

Reform should use transparent deputation rules, meaningful State consultation, predictable cadre strength, protection against partisan transfer, and joint performance frameworks. Specialised State services should be strengthened rather than displaced.

Thus, All-India Services are a federal bridge, not merely a centralising instrument. Their legitimacy depends on genuinely shared personnel governance.

M4. 15 marks | 250 words

Question: Cesses, surcharges and centrally sponsored schemes can re-centralise fiscal federalism even when tax devolution remains high. Analyse.

Model solution

The Finance Commission may recommend a substantial State share, but effective fiscal autonomy depends on the base being shared and the conditions attached to other transfers.

Article 270 distributes the divisible pool, while Article 271 permits Union-purpose surcharges whose proceeds are not shareable. Cesses are similarly commonly kept outside the divisible pool. Growth in these instruments can reduce the proportion of gross Union tax revenue subject to the stated devolution percentage.

Centrally sponsored schemes support national priorities and equal citizenship, but detailed guidelines, matching contributions and fragmented funding may constrain State budgeting. States carry major responsibilities in health, agriculture, police and local services, so conditional transfers can convert them into implementation agencies.

Counterarguments matter. Cesses can finance identifiable national externalities; schemes can reduce interstate inequality; and the 16th Finance Commission retains 41% rules-based vertical devolution. State capacity and accountability also justify performance conditions.

The corrective is not abolition but transparency and consent: sunset clauses and reporting for cesses, a protected divisible-pool base, fewer and more flexible schemes, predictable Union shares, outcome-based rather than input-heavy conditions, and regular ISC/GST consultation.

Thus, formal devolution and practical autonomy can diverge. Fiscal federalism must be evaluated through total transfer design, not the headline percentage alone.

M5. 20 marks | 250-300 words

Question: Critically evaluate the constitutional and institutional framework for inter-State river-water disputes in India.

Model solution

River basins ignore political boundaries, making water disputes a test of federal adjudication, scientific capacity and political compliance.

Article 262 authorises Parliament to provide adjudication and exclude court jurisdiction. The Inter-State River Water Disputes Act, 1956 creates dispute-specific tribunals, while the River Boards Act, 1956 envisages cooperative basin management.

Strengths: Tribunals provide specialised fact-finding; awards are final and binding under statute; jurisdiction exclusion can prevent parallel litigation; Union facilitation offers a national forum.

Weaknesses: Delays occur in negotiation, tribunal creation, evidence and decision. States dispute flow data, project effects and distress-year sharing. Publication and implementation may generate new litigation. Ad-hoc tribunals lose institutional memory, and climate change makes historical averages less reliable.

The 2019 Amendment Bill proposed a dispute-resolution committee and permanent tribunal with benches, but it passed only Lok Sabha and is not current law as of 24 August 2026.

Reform requires a permanent professional secretariat even if benches remain dispute-specific, independent basin data, time-bound stages, ecological-flow and climate scenarios, transparent distress-sharing formulas, compliance monitoring and stronger river-basin organisations. Courts should retain narrow constitutional review while respecting Article 262's jurisdiction design.

Thus, adjudication is necessary but insufficient. Durable settlement requires continuous cooperative basin governance before and after an award.

M6. 20 marks | 250-300 words

Question: The constitutional freedom of trade under Part XIII is a federal common-market guarantee, not a promise of tax-free commerce. Discuss with case law.

Model solution

Articles 301-307 seek an integrated economic union while preserving regulatory and fiscal space.

Article 301 declares trade, commerce and intercourse throughout India free. Article 302 permits Parliament to impose public-interest restrictions. Article 303 generally bars preference or discrimination between States, with a parliamentary scarcity exception. States may levy non-discriminatory taxes under Article 304(a) and impose reasonable public-interest restrictions under Article 304(b) with previous presidential sanction.

Early cases complicated the framework. *Atiabari Tea* focused on measures directly and immediately restricting trade. *Automobile Transport* developed a compensatory-tax doctrine, allowing levies linked to trading facilities.

In *Jindal Stainless* (2016), a nine-judge bench rejected compensatory tax as lacking constitutional text. Article 301 does not create freedom from taxation. The central question for a State tax is hostile or protectionist discrimination under Article 304(a). Clauses (a) and (b) are distinct; a discriminatory tax cannot be saved merely as a reasonable restriction.

GST later supplied a constitutional fiscal mechanism for a common market through Articles 246A, 269A and 279A, though State participation and Council bargaining remain federal features.

Therefore, Part XIII balances integration with autonomy. It prohibits economic protectionism, not every tax or regulation. The modern test is non-discrimination, constitutional competence and procedural compliance.

M7. 20 marks | 250-300 words

Question: "The principal weakness of Centre-State relations is institutional under-use rather than constitutional scarcity." Evaluate and suggest reforms.

Model solution

The Constitution supplies extensive mechanisms: divided legislative fields, Rajya Sabha safeguards, Inter-State Council, Finance Commission, GST Council, Article 131 adjudication, water tribunals, mutual delegation and commission-developed conventions. Yet conflict persists because these mechanisms are irregularly or asymmetrically used.

The full Inter-State Council meets infrequently, while major Concurrent legislation may proceed without structured State consultation. Governor assent and government-formation disputes turn convention into litigation. Cesses and scheme conditions weaken the practical effect of devolution. Water tribunals suffer delay and implementation gaps. CBI general-consent withdrawals reveal distrust in central agencies.

However, constitutional design also contributes. Residuary power, Article 253, Article 356, Governor appointment, Article 293 borrowing consent and vertical fiscal imbalance give the Union superior leverage. Institutional activation alone cannot erase this structural tilt.

Reform should therefore combine use and redesign: regular ISC meetings with tracked responses; mandatory consultation protocols for Concurrent laws; neutral Governor conventions and reasoned decisions; transparent cesses and flexible schemes; a GST dispute mechanism; shared river data and implementation bodies; comprehensive CBI legislation; and joint All-India Service governance.

Sarkaria and Punchhi already provide much of this menu. *S.R. Bommai* and *Mohit Minerals* show that courts can protect boundaries but cannot substitute for political dialogue.

The proposition is substantially correct: India has enough forums, but insufficient habits of consultation. Trust requires repeated, rule-bound use of institutions while correcting the Union's strongest structural asymmetries.